

Bobby Zar's \$18.5M Short Sale Shows Landmark Risk Is a Capital Stack Problem

A \$60M basis, a blocked development, and a lender-directed sale reveal how regulatory risk compresses equity.

What \$18.5 million reveals

\$18.5 million

Key figure

\$60 million

Key figure

\$59 million

Debt / financing

It is the \$60 million the previous owners paid in 2015

The most important number in Bobby Zar's \$18.5 million acquisition of 827-831 Broadway is not the purchase price. It is the \$60 million the previous owners paid in 2015. The gap between those two numbers is not just a valuation decline.

ZG Capital Partners, led by Bobby Zar, acquired the interconnected four-story buildings

It is a case study in how regulatory risk can destroy a development thesis, compress equity, and force a lender to accept a loss rather than wait for a recovery that may never arrive. ZG Capital Partners, led by Bobby Zar, acquired the interconnected four-story buildings at 827-831 Broadway and 47 East 12th Street via a lender-directed short sale. Newmark's Brett Siegel, Maurice Suede, and Adam Spies represented the seller.

The price represents a 69 percent discount from the 2015 acquisition by Quality Capital

The price represents a 69 percent discount from the 2015 acquisition by Quality Capital and Caerus. That 2015 purchase came with a plan: demolish the existing cast-iron structures and build a 300-foot, 14-story office and retail tower. In May 2017, the borrowers recapitalized with a \$59 million loan from LoanCore Capital. The development thesis was clear, the leverage was aggressive, and the basis was high. Then the Landmarks Preservation Commission intervened.

The capital stack tells the rest of the story

In October 2017, following a campaign by Village Preservation, the LPC granted landmark status to 827-831 Broadway, blocking demolition. The 12th Street building was not designated, but the core development site was effectively frozen. The capital stack tells the rest of the story. A \$59 million loan against a \$60 million basis meant the borrowers had almost no equity cushion when the development plan collapsed.

It was a recapitalization that assumed the development would proceed

The loan was not a construction loan; it was a recapitalization that assumed the development would proceed. When the regulatory rug was pulled, the debt became a burden the asset could not support. LoanCore Capital is the lender that took the loss.

The short sale is a lender-directed transaction, meaning LoanCore agreed to accept less

The short sale is a lender-directed transaction, meaning LoanCore agreed to accept less than the outstanding balance rather than foreclose and hold an asset with no clear path to value creation. The alternative would have been to take title, pay carrying costs, and hope for a zoning or regulatory change that is unlikely to come. LoanCore chose liquidity over hope. This is not a distress story about a bad loan.

It is a story about how regulatory risk is priced into capital stacks only after it materializes

It is a story about how regulatory risk is priced into capital stacks only after it materializes. The 2015 buyers underwrote a development that depended on demolition. They did not underwrite the possibility that the buildings would be declared landmarks. That omission is what turned a \$60 million basis into an \$18.5 million short sale. Bobby Zar is the beneficiary of that miscalculation.

He is buying at a basis

He already owns 836 Broadway directly across the street, which he bought in 2021 and has fully leased at rents north of \$100 per square foot. He knows the neighborhood, the tenant demand, and the leasing dynamics. He is buying at a basis that gives him options: hold, lease, or reposition the existing buildings without the burden of a development timeline or a distressed debt structure.

The deal also reveals something about the current market for New York City commercial

The deal also reveals something about the current market for New York City commercial real estate. Capital is not avoiding the city. It is avoiding assets with unresolved regulatory or structural risk. Zar is buying because the risk has been resolved: the landmark designation is settled, the debt is cleared, and the price reflects the asset as it is, not as someone hoped it would be.

The market will eventually price the risk of denial

For owners with development plans that depend on zoning changes, landmark approvals, or regulatory flexibility, this deal is a warning. The market will eventually price the risk of denial. When it does, the equity that was counting on a future value may find itself wiped out before the first shovel hits the ground. For lenders, the lesson is narrower but sharper.

LoanCore's \$59 million loan was not a bad underwriting in 2017

A loan secured by a development site is only as good as the regulatory path to completion. LoanCore's \$59 million loan was not a bad underwriting in 2017. It became a bad loan when the LPC changed the rules. That is the kind of risk that no debt yield or LTV covenant can fully capture. The deal is not proof that Greenwich Village is a buying opportunity.

Why it matters

Zar is buying because the risk has been resolved: the landmark designation is settled, the debt is cleared, and the price reflects the asset as it is, not as someone hoped it would be.

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